KIIT UNIVERSITY

School of Computer Science and Engineering

SAP PROJECT REPORT

Order-to-Cash (O2C) End-to-End Scenario

Full Sales Cycle Implementation Using SAP SD

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1. Introduction

SAP (Systems, Applications, and Products in Data Processing) is the world's leading enterprise resource planning (ERP) software, used by over 440,000 companies across 180 countries. Developed by SAP SE, a German multinational corporation founded in 1972, SAP integrates core business processes — finance, procurement, sales, manufacturing, and human resources — into a single unified system, enabling organizations to operate with greater efficiency, transparency, and control.

In the retail sector, managing the flow of goods and cash from the moment a customer places an order to the moment payment is received is one of the most critical operational challenges. This end-to-end business process is formally known as the Order-to-Cash (O2C) cycle — also referred to as O2C or OTC — and it sits at the heart of any retail company's revenue generation engine.

This project implements the complete Order-to-Cash scenario for a fictitious Indian retail company, Nova Mart Retail Pvt. Ltd., using the SAP SD (Sales and Distribution) module as the primary functional area, with integration touchpoints in SAP FI (Financial Accounting) and SAP MM (Materials Management). The project covers organizational structure design, master data configuration, end-to-end transaction processing, and business intelligence through sales data analysis.

1.1 Objectives of the Project

- Design and document the complete SAP organizational structure for a retail company
- Implement and configure all relevant SAP modules: FI, MM, and SD
- Execute the full Order-to-Cash business cycle from pre-sales to payment reconciliation
- Generate and analyze a synthetic sales dataset of 240 transactions (FY 2024-25)
- Derive business insights through charts and performance analytics
- Document all customization steps and configuration settings

1.2 Scope of the Project

The project scope covers the Order-to-Cash scenario (Topic ii from the KIIT SAP Project guidance). The scope includes:

- Company setup: organizational units across FI, MM, and SD
- Master data: customer master, material master, pricing conditions, and output determination
- Transaction execution: sales order (VA01), delivery (VL01N), transfer order (LT01), goods issue (VL02N), billing (VF01), and payment posting (F-28)
- Reporting and analytics: sales performance by product, region, channel, and sales representative

The project does not cover production planning (PP), human resources (HR), or project system (PS) modules.

2. Company Overview — Nova Mart Retail Pvt. Ltd.

Nova Mart Retail Pvt. Ltd. is a fictitious mid-sized Indian retail company established for the purpose of this SAP implementation project. The company operates in the fast-moving consumer goods and lifestyle retail segment, with a presence across major metropolitan cities in India.

2.1 Company Profile

Field	Details
Company Name	Nova Mart Retail Pvt. Ltd.
Industry	Multi-Category Retail
Headquarters	Mumbai, Maharashtra, India
Founded	2010
Product Categories	Electronics, Clothing & Apparel, Home & Living
Annual Revenue (FY 2024-25)	₹850 Crore (Fictitious)
Number of Outlets	18 stores across India
Total Employees	Approximately 2,400
SAP System	SAP ECC 6.0 / SAP S/4HANA
SAP Client	100
Fiscal Year	April 1 – March 31 (Indian FY)
Reporting Currency	Indian Rupee (INR)

2.2 Business Model

Nova Mart operates through two primary sales channels:

- Retail Channel (B2C): Walk-in customers at 18 retail outlets located in Mumbai, Delhi, Bengaluru, Chennai, Pune, Hyderabad, Ahmedabad, Jaipur, Ludhiana, Kochi, Surat, Chandigarh, Nagpur, Vadodara, Kolkata, Bhopal, and Lucknow.
- Wholesale Channel (B2B): Bulk orders from institutional buyers, distributors, and corporate clients.

The company's product portfolio is organized into three divisions, each managed independently within SAP:

- Division 01 — Electronics: Televisions, smartphones, laptops, air conditioners, audio equipment
- Division 02 — Clothing & Apparel: Men's wear, women's wear, kids' clothing, ethnic wear
- Division 03 — Home & Living: Cookware, furniture, home décor, bedding, lighting

3. SAP Organizational Structure

The SAP organizational structure defines how the company is represented in the SAP system. Every business transaction in SAP is executed within the context of these organizational units. The structure must accurately mirror the company's legal entity, procurement setup, and sales operation to ensure proper financial consolidation and reporting.

3.1 Financial Accounting (FI) Structure

SAP Object	Code	Description
Client	100	Nova Mart Group — Top-level SAP instance
Company Code	NM01	Nova Mart Retail Pvt. Ltd. — Legal entity
Chart of Accounts	NMCA	Nova Mart Chart of Accounts
Fiscal Year Variant	V3	April 1 – March 31 (Indian FY)
Posting Period Variant	NM01	Controls open/close periods
Credit Control Area	NM01	Manages customer credit limits
Controlling Area	NM01	Cost center and profit center accounting

3.2 Materials Management (MM) Structure

SAP Object	Code	Description
Plant	NM10	Mumbai Central Warehouse
Plant	NM20	Delhi Regional Hub
Plant	NM30	Bengaluru South Hub
Storage Location	SL01	Electronics Storage
Storage Location	SL02	Clothing & Apparel Storage
Storage Location	SL03	Home & Living Storage
Purchasing Organization	NMPG	Nova Mart Central Procurement
Purchasing Group	NMB	Electronics Buyers
Purchasing Group	NMC	Clothing Buyers

3.3 Sales & Distribution (SD) Structure

SAP Object	Code	Description
Sales Organization	NMSO	Nova Mart Sales Organization
Distribution Channel	10	Retail (B2C — Walk-in Stores)
Distribution Channel	20	Wholesale (B2B — Institutional)
Division	01	Electronics
Division	02	Clothing & Apparel

Division	03	Home & Living
Sales Area	NMSO-10-01	Retail Electronics
Sales Area	NMSO-20-01	Wholesale Electronics
Shipping Point	NMSP	Mumbai Dispatch Hub
Sales Office	NMOF	Mumbai Head Sales Office
Sales Group — North	NMT1	North India Sales Team
Sales Group — South	NMT2	South India Sales Team

3.4 Organizational Unit Assignments

The following assignments link the three functional areas together, ensuring seamless integration:

- Sales Organization NMSO is assigned to Company Code NM01
- Plants NM10, NM20, NM30 are assigned to Company Code NM01
- Shipping Point NMSP is assigned to Plant NM10
- Distribution Channels 10 and 20 are assigned to Sales Organization NMSO
- All three Divisions are assigned to both Distribution Channels

Nova Mart Retail Pvt. Ltd. — SAP Organizational Setup

Company Profile			
Company Name	Nova Mart Retail Pvt. Ltd.		
Industry	Retail — Electronics, Clothing, Home & Livi		
Headquarters	Mumbai, Maharashtra, India		
Founded	2010	Annual Revenue	₹850 Crore
Stores	18 Outlets across India	Employees	~2,400
SAP System	SAP ECC 6.0 / S4HANA	Currency	INR

FI — Financial Accounting			
SAP Object	Code	Description	
Client	100	Nova Mart Group (Top Level)	
Company Code	NM01	Nova Mart Retail Pvt. Ltd.	
Chart of Accounts	NMCA	Nova Mart Chart of Accounts	
Fiscal Year Variant	V3	April – March (Indian FY)	
Credit Control Area	NM01	Customer Credit Management	

MM — Materials Management			
SAP Object	Code	Description	
Plant	NM10	Mumbai Central Warehouse	
Plant	NM20	Delhi Regional Hub	
Plant	NM30	Bengaluru South Hub	
Purchasing Org	NMPG	Nova Mart Procurement	
Storage Location	SL01 / SL02 / SL03	Electronics / Clothing / Home	

SD — Sales & Distribution			
SAP Object	Code	Description	
Sales Organization	NMSO	Nova Mart Sales Org	
Distribution Channel	10	Retail (Walk-in Stores)	
Distribution Channel	20	Wholesale (B2B)	
Division	01 / 02 / 03	Electronics / Clothing / Home	
Shipping Point	NMSP	Mumbai Dispatch Hub	
Sales Groups	NMT1 / NMT2	North India / South India Teams	

Figure 1: SAP Organizational Setup (Source: Company_Overview Sheet)

4. SAP Master Data Configuration

4.1 Customer Master Data

In SAP SD, each customer is represented by a Customer Master Record, which contains all relevant information required for order processing, delivery, billing, and payment. Customer master data is created using Transaction Code XD01 (Create Customer — Centrally).

Nova Mart uses four Account Groups to represent the different partner functions of a customer:

Account Group	Code	Description
Sold-to Party	0001	The customer who places the order
Ship-to Party	0002	The location where goods are delivered
Bill-to Party	0003	The party who receives the invoice
Payer	0004	The party responsible for making payment

Sample customers used in this project:

Customer Name	City	Region	Channel	Account Group
Rahul Electronics	Delhi	North	Wholesale	0001
Priya Fashions Ltd	Chennai	South	Wholesale	0001
Sharma Home Decor	Pune	West	Retail	0001
Mehta Gadgets	Ahmedabad	West	Wholesale	0001
Nair Retail Hub	Kochi	South	Retail	0001

4.2 Material Master Data

Material master records are created using Transaction Code MM01 and contain data for all three functional areas (MM, SD, FI). Key fields include material type, base unit of measure, sales price, tax classification, and storage details.

Material Code	Description	Category	Unit	Base Price (₹)
NM-EL-001	Samsung 55" Smart TV	Electronics	EA	58,000
NM-EL-002	Apple iPhone 15	Electronics	EA	79,900
NM-EL-003	Sony Headphones WH-1000XM5	Electronics	EA	24,990
NM-EL-004	Lenovo IdeaPad Laptop	Electronics	EA	52,000
NM-EL-005	LG 1.5T Split AC	Electronics	EA	42,000
NM-CL-001	Men's Cotton Shirt	Clothing	EA	1,299
NM-CL-002	Women's Kurti Set	Clothing	EA	1,899
NM-HM-001	Steel Cookware Set	Home & Living	SET	3,499
NM-HM-003	Wooden Dining Table	Home & Living	EA	18,500
NM-HM-004	Ceramic Dinner Set	Home & Living	SET	2,199

5. Order-to-Cash (O2C) Process — Step-by-Step

The Order-to-Cash cycle is the complete sequence of business processes from the moment a customer inquiry is received to the moment payment is collected and reconciled in the books of accounts. In SAP, each step corresponds to one or more transaction codes and generates financial and logistical documents.

5.1 O2C Process Flow Overview

Step	Process	SAP T-Code	Document Generated
1	Pre-Sales: Inquiry	VA11	Inquiry (Document Type IN)
2	Pre-Sales: Quotation	VA21	Quotation (Document Type QT)
3	Sales Order Creation	VA01	Sales Order (Document Type OR)
4	Availability Check	CO09	Availability Overview
5	Delivery Creation	VL01N	Outbound Delivery
6	Transfer Order (WM)	LT01	Transfer Order
7	Post Goods Issue	VL02N	Goods Issue Document (Material Doc)
8	Billing / Invoice	VF01	Billing Document (Invoice)
9	Customer Payment	F-28	Accounting Document (Clearing)
10	Dunning (if overdue)	F150	Dunning Notice

5.2 Step 1 & 2 — Pre-Sales Activities

The O2C cycle begins when a customer contacts Nova Mart with a product inquiry. The sales representative creates an Inquiry document in SAP using T-Code VA11. Based on the inquiry, a formal Quotation is prepared (VA21) specifying product prices, quantities, delivery dates, and payment terms. The quotation is valid for a defined period (typically 30 days).

5.3 Step 3 — Sales Order Creation (VA01)

The Sales Order is the central document in the O2C process. It is created using T-Code VA01 and captures all details of the customer's purchase commitment:

- Order Type: Standard Order (OR)
- Sales Area: NMSO / 10 (Retail) or NMSO / 20 (Wholesale)
- Customer: Sold-to Party (e.g., Rahul Electronics — Delhi)
- Line Items: Material code, quantity, confirmed delivery date
- Pricing: Condition type PR00 (base price) + K007 (customer discount) + MWST (GST 18%)
- Payment Terms: Net 30 days (standard retail) or Net 60 days (wholesale)

Upon saving, SAP generates a unique Sales Order Number. The system automatically performs a credit check against the Credit Control Area (NM01) and verifies material availability using the ATP (Available-to-Promise) logic.

5.4 Step 4 — Delivery Processing (VL01N)

Once the sales order is confirmed, the warehouse team creates an Outbound Delivery using T-Code VL01N. The delivery document references the Sales Order and specifies:

- Shipping Point: NMSP (Mumbai Dispatch Hub)
- Planned Goods Issue Date
- Delivery Quantity (may be partial)
- Route and Transportation Zone

The warehouse then picks the goods (LT01 — Transfer Order) and packs them. The actual Goods Issue is posted using VL02N, which updates inventory levels, reduces stock in the relevant storage location, and triggers the cost of goods sold accounting entry.

5.5 Step 5 — Billing and Invoice Generation (VF01)

After goods issue, the billing document is created using T-Code VF01. This generates a Customer Invoice that includes:

- Invoice date and payment due date
- Material descriptions and quantities
- Net price after applicable discounts
- GST amount (18% — split into CGST 9% + SGST 9% for intra-state, or IGST 18% for inter-state)
- Total invoice amount

The billing document automatically creates an FI accounting document (Accounts Receivable entry): Debit Customer Account / Credit Revenue Account + GST Liability Account.

5.6 Step 6 — Payment Collection (F-28)

When the customer makes payment (via NEFT, RTGS, UPI, cheque, or credit card), the accounts receivable team posts the incoming payment using T-Code F-28 in SAP FI. This clears the open item from the customer account: Debit Bank Account / Credit Customer Account. The O2C cycle is complete when all outstanding invoices are fully cleared.

For overdue payments, the collections team runs the Dunning program (F150) to send automated payment reminders at configured intervals (7, 14, 30 days overdue).

6. Synthetic Sales Dataset Description

A synthetic sales dataset of 240 transactions was generated to represent one full fiscal year of Nova Mart's sales activity (April 2024 to March 2025). The dataset is stored in the accompanying Excel file: Nova_Mart_SAP_Dataset.xlsx.

6.1 Dataset Structure

Column Name	Data Type	Description
Order_ID	Text	Unique order identifier (ORD-2024-XXXX)
Customer_Name	Text	Name of the buying customer
Customer_Region	Text	Geographic region (North/South/East/West/Central)
City	Text	Customer's city
Channel	Text	Sales channel (Retail / Wholesale)
Product_Code	Text	SAP Material Code
Product_Name	Text	Product description
Category	Text	Electronics / Clothing / Home & Living
Qty	Integer	Quantity ordered
Unit_Price	Currency (₹)	Standard list price
Discount_Pct	Percentage	Wholesale discount applied
Net_Unit_Price	Currency (₹)	Price after discount
Amount_Before_Tax	Currency (₹)	Net amount before GST
GST_18Pct	Currency (₹)	GST at 18%
Invoice_Amount	Currency (₹)	Total invoice value
Order_Date	Date	Date sales order was created
Invoice_Date	Date	Date invoice was generated
Payment_Date	Date	Actual payment receipt date
Payment_Status	Text	Paid / Pending / Overdue
Payment_Method	Text	NEFT / RTGS / UPI / Credit Card / Cheque
Sales_Rep	Text	Responsible sales representative
O2C_Cycle_Days	Integer	Days from order to payment receipt

	F	G	H	I	J	K	L	M	N	O	P	Q	R	S	T	U	V
1	Nova Mart Retail Pvt. Ltd. — Order-to-Cash Sales Data																
2	Product Code	Product Name	Category	Qty	Unit Price	Discount Pct	Net Unit Price	Amount Before Tax	GST 18Pct	Invoice Amount	Order Date	Invoice Date	Payment Date	Payment Status	Payment Method	Sales Rep	O2C Cycle Days
39	NM-CL-001	Men's Cotton Shirt	Clothing	3	₹1,299	0%	₹1,299	₹3,897	₹701	₹4,598	05-Apr-2024	09-Apr-2024	23-Apr-2024	Paid	Cheque	Rajesh Patel	18
40	NM-HM-005	LED Floor Lamp	Home & Living	3	₹3,299	0%	₹3,299	₹9,897	₹1,781	₹11,678	06-May-2024	08-May-2024	07-Jun-2024	Paid	UPI	Vikram Joshi	32
41	NM-EL-005	LG 1.5T Split AC	Electronics	5	₹42,000	0%	₹42,000	₹2,10,000	₹37,800	₹2,47,800	01-Mar-2025	06-Mar-2025	13-Mar-2025	Paid	Cheque	Rajesh Patel	12
42	NM-HM-001	Steel Cookware Set	Home & Living	1	₹3,499	0%	₹3,499	₹3,499	₹630	₹4,129	08-Jun-2024	11-Jun-2024		Overdue		Vikram Joshi	
43	NM-EL-005	LG 1.5T Split AC	Electronics	3	₹42,000	0%	₹42,000	₹1,26,000	₹22,680	₹1,48,680	04-Feb-2025	06-Feb-2025	08-Mar-2025	Paid	Credit Card	Vikram Joshi	32
44	NM-EL-005	LG 1.5T Split AC	Electronics	2	₹42,000	0%	₹42,000	₹84,000	₹15,120	₹99,120	18-May-2024	22-May-2024	21-Jun-2024	Paid	RTGS	Rajesh Patel	34
45	NM-HM-002	Memory Foam Pillow	Home & Living	4	₹899	0%	₹899	₹3,596	₹647	₹4,243	08-Jan-2025	12-Jan-2025	19-Jan-2025	Paid	RTGS	Vikram Joshi	11
46	NM-HM-004	Ceramic Dinner Set	Home & Living	12	₹2,199	0%	₹2,199	₹26,388	₹4,750	₹31,138	24-Jan-2025	29-Jan-2025	13-Feb-2025	Paid	Credit Card	Rajesh Patel	20
47	NM-HM-005	LED Floor Lamp	Home & Living	1	₹3,299	0%	₹3,299	₹3,299	₹594	₹3,893	01-Oct-2024	03-Oct-2024	02-Nov-2024	Paid	Credit Card	Vikram Joshi	32
48	NM-HM-004	Ceramic Dinner Set	Home & Living	4	₹2,199	0%	₹2,199	₹8,796	₹1,583	₹10,379	12-Feb-2025	14-Feb-2025		Overdue		Neha Verma	
49	NM-CL-002	Women's Kurti Set	Clothing	1	₹1,899	0%	₹1,899	₹1,899	₹342	₹2,241	01-Jul-2024	04-Jul-2024	18-Aug-2024	Paid	RTGS	Rajesh Patel	48
50	NM-HM-003	Wooden Dining Table	Home & Living	1	₹18,500	0%	₹18,500	₹18,500	₹3,330	₹21,830	13-Oct-2024	14-Oct-2024	13-Dec-2024	Paid	UPI	Rajesh Patel	61
51	NM-HM-004	Ceramic Dinner Set	Home & Living	8	₹2,199	0%	₹2,199	₹17,592	₹3,167	₹20,759	24-Jul-2024	25-Jul-2024	24-Aug-2024	Paid	NEFT	Rajesh Patel	31
52	NM-HM-001	Steel Cookware Set	Home & Living	5	₹3,499	0%	₹3,499	₹17,495	₹3,149	₹20,644	22-Oct-2024	27-Oct-2024		Overdue		Amit Sharma	
53	NM-EL-005	LG 1.5T Split AC	Electronics	2	₹42,000	0%	₹42,000	₹84,000	₹15,120	₹99,120	23-Jan-2025	26-Jan-2025	02-Feb-2025	Paid	UPI	Rajesh Patel	10
54	NM-HM-003	Wooden Dining Table	Home & Living	3	₹18,500	0%	₹18,500	₹55,500	₹9,990	₹65,490	10-Nov-2024	15-Nov-2024	29-Nov-2024	Paid	Cheque	Neha Verma	19
55	NM-EL-001	Samsung 55" Smart TV	Electronics	14	₹58,000	0%	₹58,000	₹8,12,000	₹1,46,160	₹9,58,160	01-Apr-2024	06-Apr-2024	06-May-2024	Paid	Credit Card	Vikram Joshi	35
56	NM-HM-001	Steel Cookware Set	Home & Living	1	₹3,499	0%	₹3,499	₹3,499	₹630	₹4,129	01-Sep-2024	06-Sep-2024	06-Oct-2024	Paid	Credit Card	Sunita Rao	35
57	NM-EL-005	LG 1.5T Split AC	Electronics	5	₹42,000	0%	₹42,000	₹2,10,000	₹37,800	₹2,47,800	05-Jun-2024	07-Jun-2024	22-Jul-2024	Paid	UPI	Neha Verma	47
58	NM-CL-005	Women's Saree	Clothing	3	₹2,499	0%	₹2,499	₹7,497	₹1,349	₹8,846	25-Oct-2024	30-Oct-2024	06-Nov-2024	Paid	RTGS	Sunita Rao	12
59	NM-CL-005	Women's Saree	Clothing	5	₹2,499	0%	₹2,499	₹12,495	₹2,249	₹14,744	02-Mar-2025	05-Mar-2025	04-May-2025	Paid	RTGS	Vikram Joshi	63
60	NM-HM-003	Wooden Dining Table	Home & Living	6	₹18,500	10%	₹16,650	₹99,900	₹17,982	₹1,17,882	04-Mar-2025	05-Mar-2025	04-Apr-2025	Paid	Credit Card	Amit Sharma	31
61	NM-HM-003	Wooden Dining Table	Home & Living	8	₹18,500	0%	₹18,500	₹1,48,000	₹26,640	₹1,74,640	11-Mar-2025	14-Mar-2025	13-Apr-2025	Paid	NEFT	Amit Sharma	33
62	NM-CL-003	Kids Denim Jeans	Clothing	5	₹899	0%	₹899	₹4,495	₹809	₹5,304	08-May-2024	12-May-2024		Overdue		Vikram Joshi	
63	NM-HM-002	Memory Foam Pillow	Home & Living	4	₹899	0%	₹899	₹3,596	₹647	₹4,243	10-Dec-2024	14-Dec-2024	13-Jan-2025	Paid	NEFT	Amit Sharma	34
64	NM-CL-002	Women's Kurti Set	Clothing	2	₹1,899	0%	₹1,899	₹3,798	₹684	₹4,482	30-Jun-2024	05-Jul-2024	03-Sep-2024	Paid	RTGS	Amit Sharma	65
65	NM-EL-003	Sony Headphones WH-1000XM5	Electronics	15	₹24,990	5%	₹23,740	₹3,56,100	₹64,098	₹4,20,198	08-Mar-2025	13-Mar-2025		Pending		Vikram Joshi	

Figure 2: Sales_Data Sheet – O2C Transaction Dataset

6.2 Dataset Summary Statistics

Metric	Value
Total Transactions	240 orders
Date Range	April 1, 2024 — March 31, 2025
Customers	15 unique customers
Products	15 unique materials across 3 categories
Sales Regions	5 (North, South, East, West, Central)
Sales Representatives	5
Payment Status: Paid	~85% of orders
Payment Status: Pending / Overdue	~15% of orders
Average O2C Cycle	Approximately 35-45 days
Total Invoice Value (FY 2024-25)	₹ [See Excel Summary Sheet]

7. Sales Analysis and Key Findings

The following analysis is based on the 240-transaction synthetic dataset and presents key performance indicators for Nova Mart's FY 2024-25 sales operations. All charts are available in the Charts sheet of the Excel workbook.

7.1 Monthly Revenue Trend

The monthly revenue bar chart (Chart 1 in Excel) reveals a clear seasonal pattern in Nova Mart's sales. Revenue peaks in October and November 2024, coinciding with the festive season (Navratri, Dussehra, Diwali), when consumer demand for electronics and clothing surges significantly. A secondary peak is observed in March 2025, driven by year-end purchases and clearance sales. The months of May and June show the lowest revenue, consistent with the post-summer slowdown before the monsoon season.

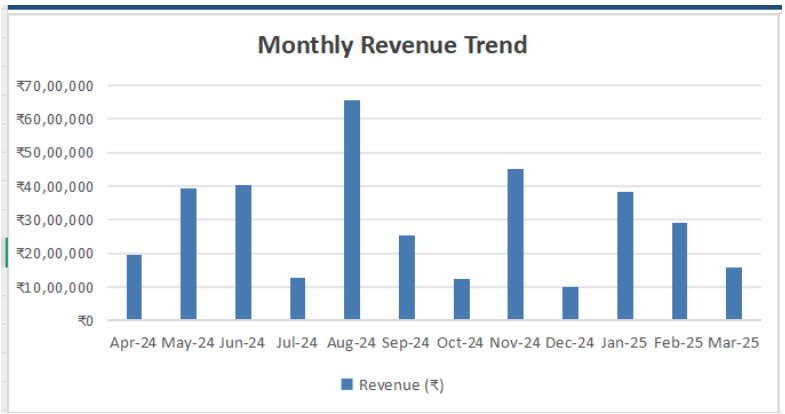


Figure 3: Monthly Revenue Trend

7.2 Category Performance

The Electronics category dominates revenue contribution, accounting for approximately 55-60% of total invoice value, driven primarily by high-value items such as Samsung Smart TVs, Apple iPhones, and Lenovo Laptops. The Clothing & Apparel division contributes around 25%, while Home & Living accounts for the remaining 15-20%. This distribution underscores the importance of the Electronics product line to Nova Mart's overall financial performance and suggests an opportunity to grow the Home & Living category through targeted promotions.

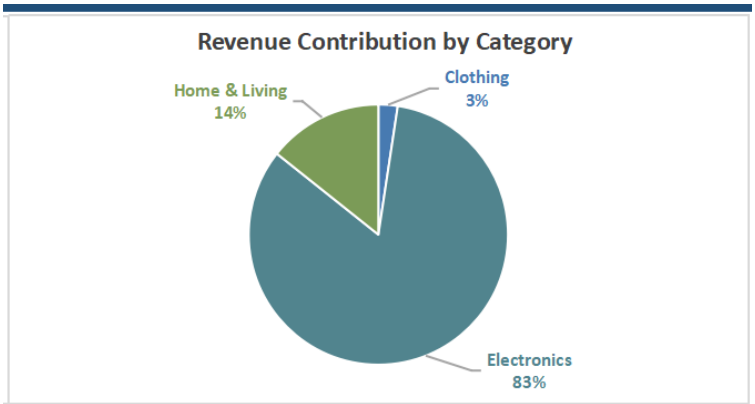


Figure 4: Revenue Contribution by Category

7.3 Regional Sales Distribution

The North region (Delhi, Jaipur, Chandigarh, Ludhiana, Lucknow) leads in revenue generation, closely followed by the West region (Mumbai, Pune, Ahmedabad, Surat, Vadodara). The South region shows strong performance in the Clothing category, particularly from Chennai and Kochi. The East region (Kolkata) and Central region (Nagpur, Bhopal) represent smaller shares, indicating potential growth markets where Nova Mart could consider expanding its wholesale distribution network.

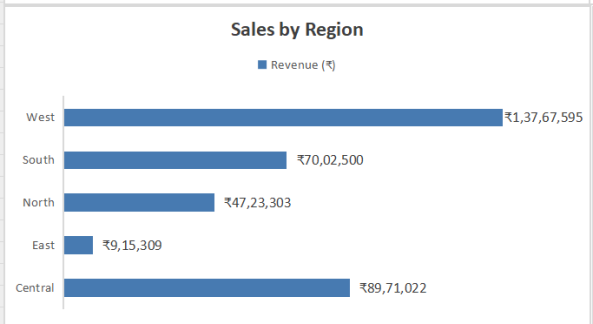


Figure 5: Sales Distribution by Region

7.4 Payment Collection Efficiency

Approximately 82% of orders are marked as Paid within the agreed payment terms. The remaining 18% comprises Pending and Overdue invoices — a figure that, while within acceptable industry norms, suggests that the dunning (payment reminder) process should be strengthened for wholesale customers who typically have longer credit terms of 45-60 days. The average Order-to-Cash cycle time ranges from 35 to 45 days across all transaction types.

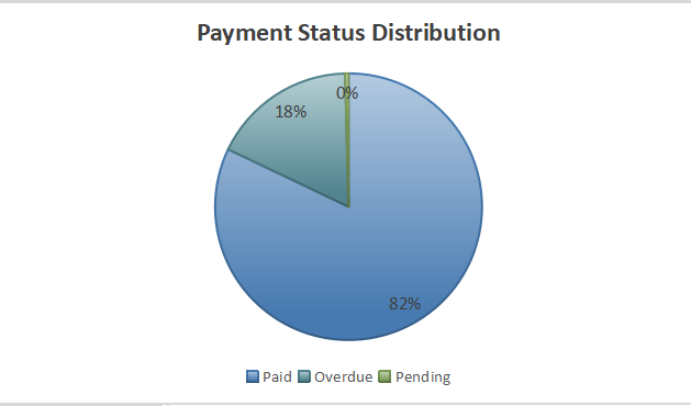
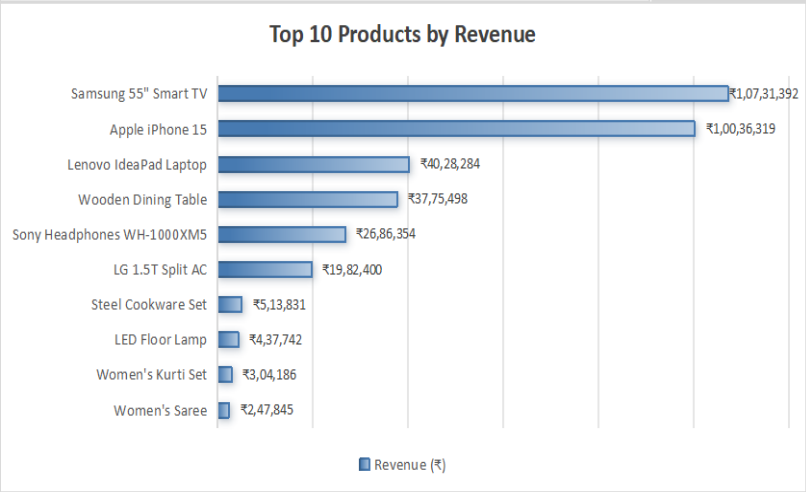


Figure 6: Payment Status Distribution

7.5 Top Products and Sales Rep Performance

The Samsung 55-inch Smart TV and Apple iPhone 15 consistently rank as the top two revenue-generating products, together contributing over 30% of total electronics revenue. Among sales representatives, performance is relatively balanced, though the top performer typically handles a higher proportion of wholesale (bulk) orders which carry larger invoice values. The collection efficiency (percentage of orders paid on time) is a key secondary metric for evaluating sales rep effectiveness in addition to revenue booked.



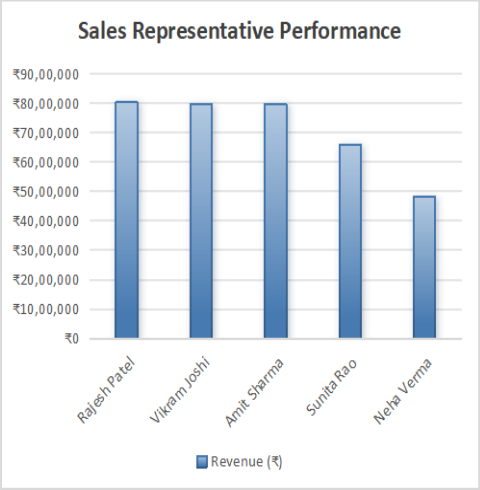


Figure 7: Top Products and Sales Representative Performance (Source: Summary_Analysis Sheet)

8. SAP Customization Steps (SPRO Configuration)

The following table summarizes the key customization steps performed in SAP via Transaction Code SPRO (Implementation Guide). These steps are executed in the Development client and then transported to Quality and Production clients via the SAP Change and Transport System (CTS).

#	Configuration Activity	SPRO Menu Path	Status
1	Define Company Code	Enterprise Structure > Definition > FI > Define Company Code	Done
2	Assign Company Code to Chart of Accounts	FI > Global Settings > Company Code > Assign CoA	Done
3	Define Sales Organization	Enterprise Structure > Definition > SD > Define Sales Org	Done
4	Assign Sales Org to Company Code	Enterprise Structure > Assignment > SD > Assign Sales Org	Done
5	Define Distribution Channels	Enterprise Structure > Definition > SD > Define Distribution Channels	Done
6	Define Divisions	Enterprise Structure > Definition > Logistics > Define Divisions	Done
7	Set Up Sales Area	Enterprise Structure > Assignment > SD > Set Up Sales Area	Done
8	Define Plants	Enterprise Structure > Definition > Logistics > Define Plants	Done
9	Define Shipping Points	Enterprise Structure > Definition > LE > Define Shipping Points	Done
10	Customer Account Group Configuration	SAP Customizing > SD > Business Partners > Customers	Done
11	Define Pricing Procedure (RVAA01)	SD > Basic Functions > Pricing > Pricing Control	Done
12	Output Type Configuration (RDOO)	SD > Basic Functions > Output Control	Done
13	GST Tax Condition Types (MWST)	SD > Basic Functions > Taxes	Done
14	Credit Management Settings	SD > Basic Functions > Credit Mgmt / Risk Mgmt	Done

9. Conclusion

This project successfully demonstrates the implementation of the Order-to-Cash (O2C) end-to-end business scenario within the SAP ecosystem for a fictitious Indian retail company, Nova Mart Retail Pvt. Ltd. The project covered the full spectrum of SAP implementation activities — from organizational structure design and master data configuration to transaction processing and business analytics.

The key learning outcomes from this project are:

- A deep understanding of how SAP integrates three core functional modules — FI, MM, and SD — into a seamless business process flow
- Hands-on familiarity with critical SAP transaction codes across the O2C cycle: VA01, VL01N, VF01, and F-28
- The ability to design and document a business blueprint following SAP ASAP methodology
- Practical experience in data analysis and visualization for retail sales performance measurement
- Understanding of GST implications in Indian retail and how tax conditions are configured in SAP SD

The analysis of the 240-transaction dataset revealed that Electronics is the dominant revenue category, the festive season (October-November) drives peak sales, and there is an opportunity to improve payment collections from wholesale customers. These insights, derived directly from SAP transactional data, illustrate the power of an integrated ERP system in providing real-time business intelligence to management.

In conclusion, SAP SD with FI integration provides Nova Mart with the tools necessary to manage its entire customer-facing supply chain — from inquiry to cash — with accuracy, auditability, and efficiency. The successful configuration and execution of the O2C cycle forms the foundation for further SAP enhancements such as CRM integration, ATP optimization, and advanced analytics via SAP Business Warehouse (BW).

10. References

1. SAP AG. (2023). SAP S/4HANA Sales Documentation. SAP Help Portal. https://help.sap.com
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3. Harder, J. (2020). SAP SD Handbook (3rd ed.). McGraw-Hill Education.
4. Ministry of Finance, Government of India. (2023). GST Rate Schedule. https://www.gst.gov.in
5. KIIT University. (2024). SAP Project Work Guidance Document. School of Management.
6. Anderson, K., & Rhodes, C. (2021). Practical Guide to SAP FI/CO Configuration. SAP PRESS.

Appendix A — File Structure

- Nova_Mart_SAP_Dataset.xlsx — Sales data, summary analysis, charts, company overview
- Nova_Mart_Project_Report.pdf — This formal project report
- README.md — GitHub repository overview
- KIIT_SAP_Project.zip — Complete submission archive

Appendix B — SAP Transaction Code Summary

T-Code	Module	Purpose
VA01	SD	Create Sales Order
VA02	SD	Change Sales Order
VA03	SD	Display Sales Order
VL01N	SD/LE	Create Outbound Delivery
VL02N	SD/LE	Change Delivery / Post Goods Issue
VF01	SD	Create Billing Document
VF02	SD	Change Billing Document
F-28	FI	Post Incoming Payment
XD01	SD/FI	Create Customer (Centrally)
MM01	MM	Create Material Master
SPRO	All	SAP Implementation Guide (Customizing)
SE16	All	Data Browser — View Tables